

HOUSE No. 627

The Commonwealth of Massachusetts

PRESENTED BY:

John J. Lawn, Jr.

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to the strengthening of financial literacy throughout the commonwealth.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>John J. Lawn, Jr.</i>	<i>10th Middlesex</i>	<i>1/17/2025</i>
<i>Bridget Plouffe</i>	<i>9th Plymouth</i>	<i>6/29/2025</i>
<i>Amy Mah Sangiolo</i>	<i>11th Middlesex</i>	<i>9/18/2025</i>

HOUSE No. 627

By Representative Lawn of Watertown, a petition (accompanied by bill, House, No. 627) of John J. Lawn, Jr., for legislation to authorize the department of elementary and secondary education to establish the financial literacy trust fund. Education.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to the strengthening of financial literacy throughout the commonwealth.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 29 of the General Laws is hereby amended by inserting after
2 section 2AAAAAA the following section:-

3 Section 2BBBBBB. (a) There shall be established and set up on the books of the
4 commonwealth a separate fund to be known as the Financial Literacy Trust Fund. The fund shall
5 be administered by the commissioner of elementary and secondary education. The fund shall be
6 credited with: (i) revenue from appropriations or other money authorized by the general court
7 and specifically designated to be credited to the fund; (ii) interest earned on such revenues; and
8 (iii) funds from public and private sources such as gifts, grants and donations to further personal
9 financial literacy education and professional development. Amounts credited to the fund shall
10 not be subject to further appropriation and any money remaining in the fund at the end of a fiscal
11 year shall not revert to the General Fund.

(b) Amounts credited to the fund may focus on underserved communities across the commonwealth, including those school districts with high concentrations of economically disadvantaged students and may be expended, without further appropriation, by the commissioner for the following purposes: (i) to assist with the implementation of section 100 of chapter 71, including professional development training; (ii) for the development and improvement of standards pursuant to section 1R of chapter 69; (iii) for the procurement, development and distribution of personal financial literacy educational resources and materials; (iv) for the collaboration with institutions of higher education and other stakeholder organizations; (v) in consultation with the board and commissioner of higher education, to fund scholarships or other financial supports for students; and (vi) in partnership with the state treasurer and receiver general to establish experiential personal financial literacy learning opportunities for students.

(c) Amounts received from private sources shall be approved by the commissioner of elementary and secondary education and subject to review before being deposited in the fund to ensure that pledged funds are not accompanied by conditions, explicit or implicit, on the implementation of personal financial literacy education programming that may be detrimental to the neutral and rigorous teaching of personal financial literacy or unduly influence the direction of personal financial literacy education policy. The review shall be made publicly available.

(d) Annually, not later than October 1, the commissioner shall report to the clerks of the house of representatives and senate, the joint committee on education and the house and senate committees on ways and means on the fund's activity. The report shall include, but not be limited to: (i) the source and amount of funds received; (ii) the amounts distributed and the purpose of expenditures from the fund, including but not limited to, funds expended to assist school districts

in meeting the requirements in section 100 of chapter 71; (iii) any grants provided to institutions of higher education and other stakeholder organizations; and (iv) anticipated revenue and expenditure projections for the next year.

SECTION 2. The third paragraph of section 1D of chapter 69 of the General Laws, as appearing in the 2022 Official Edition, is hereby amended by inserting after the fourth sentence the following sentence:-

The standards shall, for grades 9 through 12, provide for instruction on personal financial literacy including, but not limited to, the topics outlined in subsection (a) of section 1R.

SECTION 3 . Said section 1D of said chapter 69, as so appearing, is hereby further amended by striking out, in line 38, the following words: - financial literacy and.

SECTION 4. Section 1R of said chapter 69, as so appearing, is hereby amended by striking out subsection (a) and inserting in place thereof the following subsection:-

(a) Personal financial literacy standards established pursuant to section 1D shall promote an understanding of personal finances including, but not limited to: (i) earning and spending income, local, state and federal taxes, charitable giving, methods of payment, consumer protection, balancing ledgers and checkbooks and budgeting; (ii) long-term saving, the role of banks and financial institutions, interest both simple and compound, financial regulation and planning for the future; (iii) using credit and making investments, risks of various financial instruments and basic diversification of assets; (iv) protecting and insuring assets, preventing identity theft and avoiding online scams; (v) emerging technologies in the financial industry, a basic understanding of crypto currencies, online commerce and computer stock-trading, how to evaluate media content, including digital content relating to personal finance matters and how to

evaluate risk; and (vi) rights and responsibilities of renting or buying a home or making other large purchases or investments.

SECTION 5. Subsection (b) of said section 1R of said chapter 69, as so appearing, is hereby amended by adding the following sentence:-

This provision shall not apply to or otherwise alter the requirement of the completion of standalone personal finance coursework by a high school student in order to be eligible to graduate, as defined in section 100 of chapter 71.

SECTION 6. Chapter 71 of the General Laws is hereby amended by adding the following section:-

Section 100. (a) Personal financial literacy shall be taught as a required subject in every school district, charter school, approved private day or residential school or collaborative school serving students in grades 9 through 12 and shall be aligned with the standards promulgated by the board of elementary and secondary education, pursuant to sections 1D and 1R of chapter 69.

(b) Every high school student, prior to graduation, shall be required to take at least 1 standalone personal financial literacy course, not to last less in duration than one-half of 1 semester or take part in an equivalent amount of coursework by measurement of credit as determined by the district. Instruction shall include, but not be limited to: (i) earning and spending income, local, state and federal taxes, charitable giving, methods of payment, consumer protection, balancing ledgers and checkbooks and budgeting; (ii) long-term saving, the role of banks and financial institutions, interest both simple and compound, financial regulation and planning for the future; (iii) using credit and making investments, risks of various financial instruments and basic diversification of assets; (iv) protecting and insuring assets, preventing

identity theft and avoiding online scams; (v) emerging technologies in the financial industry, a basic understanding of cryptocurrencies, online commerce and computer stock-trading, how to evaluate digital media content relating personal finance matters and how to recognize risk; and (vi) rights and responsibilities of renting or buying a home or making other large purchases or investments.

(c) The department of elementary and secondary education shall provide professional development opportunities for educators on the personal financial literacy framework and subject to sufficient resources in the Financial Literacy Trust Fund established under section 2BBBBBB of chapter 29, create tools aligned with the framework to support districts in the implementation process. Additional support and outreach from the department may include statewide and regional trainings, meetings or conferences, including opportunities for districts and stakeholders to assess and share evidence-based best practices in support of personal financial literacy education and provide feedback and recommendations to the department.

(d) Each public school serving students in grades 9 through 12 shall provide not less than 1 experiential personal financial literacy learning opportunity for each student; provided, however, that each such experience shall be consistent with personal financial literacy standards established and adopted by the board pursuant to sections 1D and 1R of chapter 69 and with structured learning time requirements as required under regulations promulgated by the board of elementary and secondary education. Experiential personal

financial literacy learning opportunities may be individual, small group or class-wide and designed to promote a student's ability to: (i) reason, make logical arguments and support claims using valid evidence; and (ii) demonstrate an understanding of the importance of personal

101 financial literacy, including best practices for financial security, empowerment and the
102 management of financial risk.

103 SECTION 7. The department of elementary and secondary education may apply for
104 federal, state or other funding to implement the provisions of this act.

105 SECTION 8. (a) There is hereby established a special legislative commission pursuant to
106 section 2A of chapter 4 of the General Laws to serve to improve the financial literacy and
107 education of all people in the commonwealth through development of a statewide strategy to
108 promote financial literacy and education. The commission shall solicit input from the public,
109 educators, businesses and the financial services industry on financial literacy trends, the
110 prevalence of written and online financial education platforms, as well as other resources that
111 could be utilized to benefit the people of the commonwealth.

112 (b) The commission shall study and review: (I) establishing adult financial literacy
113 standards that shall promote an understanding of personal finances including, but not limited to:
114 (i) loans; (ii) interest and interest accrual; (iii) using credit and making investments, risks of
115 various financial instruments and basic diversification of assets; (iv) online commerce; (v) rights
116 and responsibilities of renting or buying a home or making other large purchases or investments;
117 (vi) saving, investing and planning for retirement; (vii) the role of banking and financial services;
118 (viii) balancing ledgers and checkbooks; (ix) state and federal taxes; (x) charitable giving; (xi)
119 evaluating media content, including online content, that relates to personal finance matters; (xii)
120 saving, investing and planning for higher education or professional training (xiii) earning and
121 spending income, methods of payment, consumer protection, and budgeting; (xiv) protecting and
122 insuring assets, preventing identity theft and avoiding online scams; and (xv) emerging

123 technologies in the financial industry, a basic understanding of cryptocurrencies, online
124 commerce and computer stock-trading, how to evaluate digital media content relating personal
125 finance matters and how to recognize risk; (II) existing means, methods and best practices to
126 facilitate financial literacy to all people of the commonwealth; (III) the cost to the
127 commonwealth to implement an online financial literacy depository or similar application
128 including existing materials and resources; (IV) the impact of including tax-based or state
129 program credits to encourage the completion of financial literacy education; and (V) the
130 exploration of public-private partnerships to maximize the programs reach and effectiveness for
131 all people in the commonwealth. The commission shall report on the potential impact on
132 establishing a state-wide financial literacy program for all people in the

133 commonwealth and provide recommendations on the future financial literacy in the
134 commonwealth.

135 (c) The commission shall consist of: the chairs of the joint committee on financial
136 services, who shall serve as co-chairs; 1 member appointed by the treasurer; the secretary of
137 education or a designee; the commissioner of banks or a designee; 1 member appointed by the
138 Cooperative Credit Union Association; 1 member appointed by the Massachusetts Bankers
139 Association; 1 member appointed by the Massachusetts Teachers Association; and 3 members
140 appointed by the governor who shall have experience implementing financial literacy education
141 programs in the commonwealth. The appointees of the governor shall represent diverse
142 geographic areas of the commonwealth.

143 (d) Not later than December 1, 2025, the commission shall file a report and its
144 recommendations with the clerks of the house of representatives and the senate, the joint
145 committee on financial services.